British American Tobacco (BTI)

Velo growth and the cash retained from the transition

Research date: October 20, 2026 | NYSE ADS; one ADS per ordinary share

Framework v8.0 | NOT HELD | FAIL | Analytical score 32/60, scaled to 53/100. Competitive nicotine franchise; no indispensable supply-chain bottleneck demonstrated.

October 19, 2026 regular-close snapshot: approximately $59 per US ADS. The operating analysis below uses the Q4 2027 horizon.

Writing-date header snapshot: approximately 2,156 million ordinary shares/ADS equivalent (latest company share control, October 19, 2026); market capitalization approximately $126,142 million. These header observations do not enter the operating ceiling.

Velo can convert rapid oral-nicotine adoption into a larger profit pool while cigarette cash funds the transition. BAT's 2030 modern-oral sales ambition provides a specific company-capture endpoint. The investment case depends on repeat purchase after promotion, legal product access, category costs and the Canadian settlement burden.

Velo supplies the clearest growth vector, with New Categories moving toward higher contribution margins. The cigarette base remains the dominant funding engine. Adequate capacity and competing products prevent a scarcity thesis; retained cash and profitable share capture are the decisive tests.

Analytical Base	Framework result	Active operating ceiling	Valuation basis
53 / 100	Fail	$75	10x Canada-adjusted normalized operating profit

The analytical Base measures thesis quality. It is separate from the probability assigned to an individual commercial outcome. The operating ceiling is a model estimate from forward four-quarter profit; it does not include dividends or a price-dependent return calculation.

The business and the source of potential excess returns

The cash engine and the growth pool

BAT sells cigarettes, modern oral products, vapour, heated tobacco and traditional oral products across many markets. Net revenue is reported after tobacco excise. Combustibles supplied most FY2025 revenue, while Velo modern oral is the fastest-scaling part of the portfolio. Vuse depends heavily on legal-market enforcement; glo heated products still face weak economics.

Where the alpha could emerge

The September strategy gives a company-specific modern-oral revenue ambition of £4,300 million by 2030. It connects adult adoption, distribution, portfolio expansion and repeat purchase to sales BAT may actually capture. The profit opportunity depends on manufacturing margins and consumer acquisition costs, rather than treating the whole growing pouch market as BAT revenue.

Brands, distribution and regulatory access

Brands, retail reach, regulated-market access and consumer data create useful barriers. BAT has stated that pouch capacity is sufficient. PMI ZYN, Altria on!, competitors in international pouches, JUUL and illicit disposable vapes can serve competing demand. No indispensable capacity, material or equipment bottleneck is demonstrated.

Reported results and the current guide

BAT's latest reported actuals are H1 2026, released July 30. It does not report standalone quarterly financial statements on the same schedule as the US peers. Every projected quarter below is labeled Model and represents an allocation of the annual operating build.

H1 revenue was £12,235 million, New Categories revenue £1,928 million and New Categories contribution £257 million. Contribution is revenue less the costs allocated to that category; it excludes other group costs and must not be valued as consolidated operating profit.

The September 29 update places 2026 revenue and Canada-adjusted operating-profit growth toward the lower end of 3-5% and 4-6%, respectively, at constant exchange rates. Currency translation then affects the nominal GBP figures. The active model's fixed exchange-rate projection is £100 approximately $133; one US ADS represents one ordinary share.

The primary valuation metric is Canada-adjusted normalized operating profit. It already removes the economic profit diversion under the settlement. FY2025 £11,279 million plus £293 million Canada adjustment, less £1,575 million other operating adjustments, reconciles to IFRS operating profit of £9,997 million. H1 £5,319 million plus £107 million, less £1,160 million, reconciles to IFRS operating profit of £4,266 million. The metrics have different meanings and cannot be interchanged.

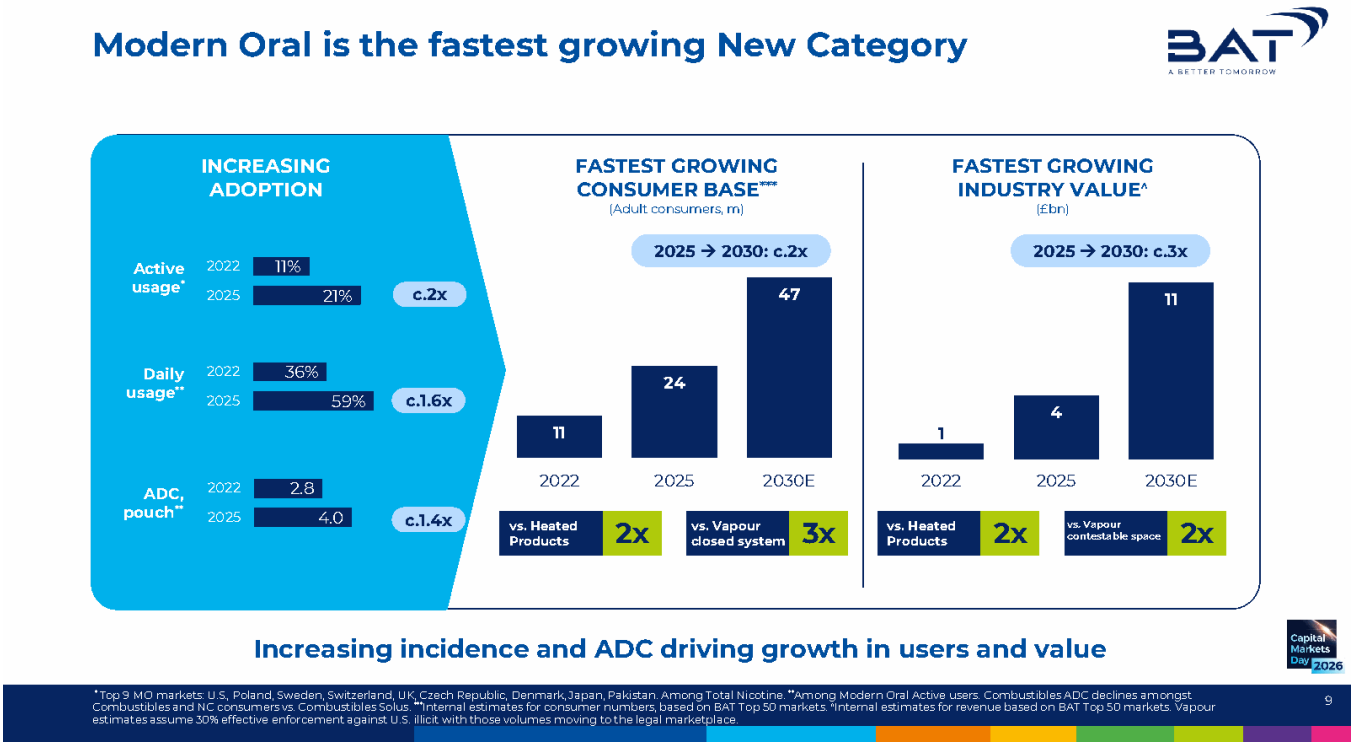
Period	Revenue	Gross profit	Costs below GP	Operating profit
FY2025 actual	25,610	17,058	5,779	11,279
H1 2026 actual	12,235	8,185	2,866	5,319

GBP million. Gross profit, costs and operating profit in this table use the Canada-adjusted normalized basis. IFRS figures are reconciled in the text and remain distinct.

Profit bridge, GBP million	FY2025	H1 2026
Canada-adjusted normalized OP	11,279	5,319
Add Canada adjustment	293	107
Less other operating adjustments	1,575	1,160
IFRS reported OP	9,997	4,266

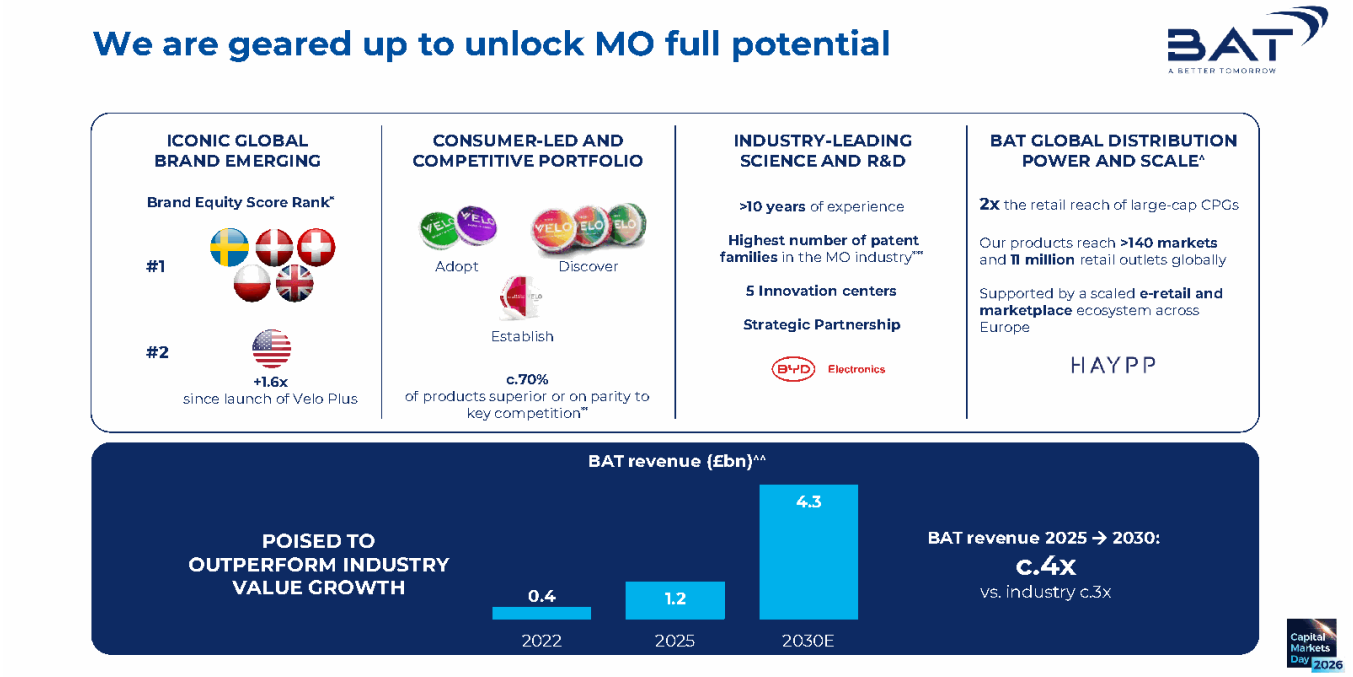
Adoption, company capture and the competing alternatives

Modern Oral industry growth and consumers



The industry wallet is a planning estimate, not BAT sales. Adoption, regulation and competing brands limit capture. Source: BAT Capital Markets Day, September 29, 2026, PDF page 9.

Company Modern Oral revenue ambition GBP4.3bn2030



The £4,300 million endpoint is a BAT company ambition. The model treats it as a conditional outcome rather than adding it to another pouch-growth forecast. Source: BAT Capital Markets Day, September 29, 2026, PDF page 18.

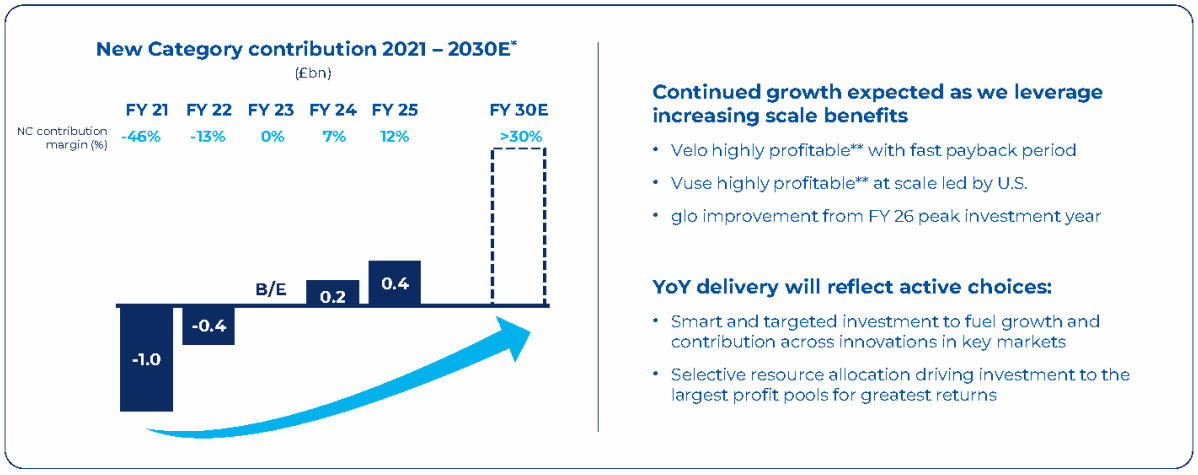
New Categories 2030 total ambition



Management targets combine growth and profitability. Category contribution excludes other group costs. Source: BAT Capital Markets Day, September 29, 2026, PDF page 39.

New Categories contribution margin target

Accelerating New Categories contribution



Contribution margin expansion driven by increasing scale and targeted investment

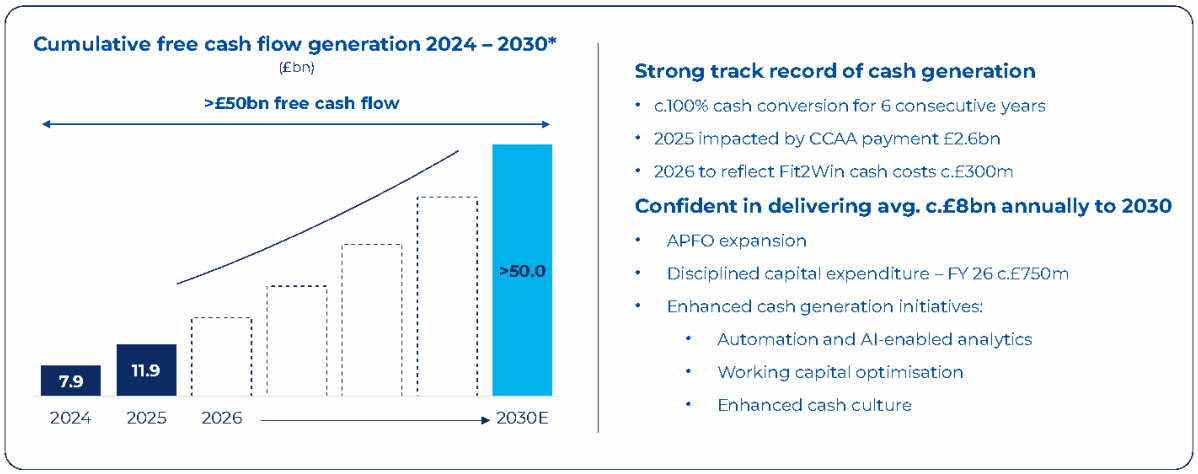
*At current rates. 2023 and 2024 on an organic basis. **On a Category Contribution basis.

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The contribution-margin trajectory includes New Categories as a whole. Standalone oral, vapour and heated margins differ. Source: BAT Capital Markets Day, September 29, 2026, PDF page 11.

Cumulative FCF ambition and annualcash

Strong cash generation – confident in achieving our £50bn ambition by 2030*

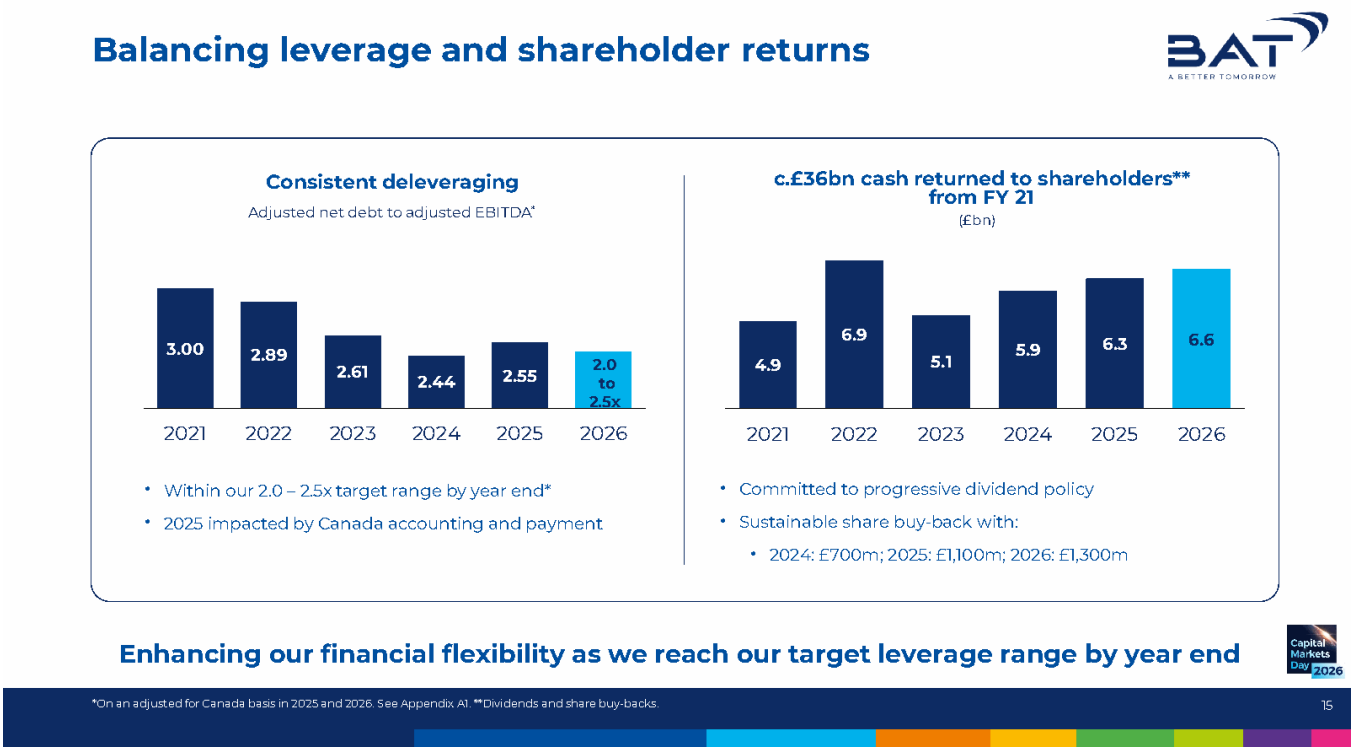


*Before dividends 2024 – 2030 inclusive. Definitions of non-GAAP financial measures can be found in the Appendix. See Appendix A1.

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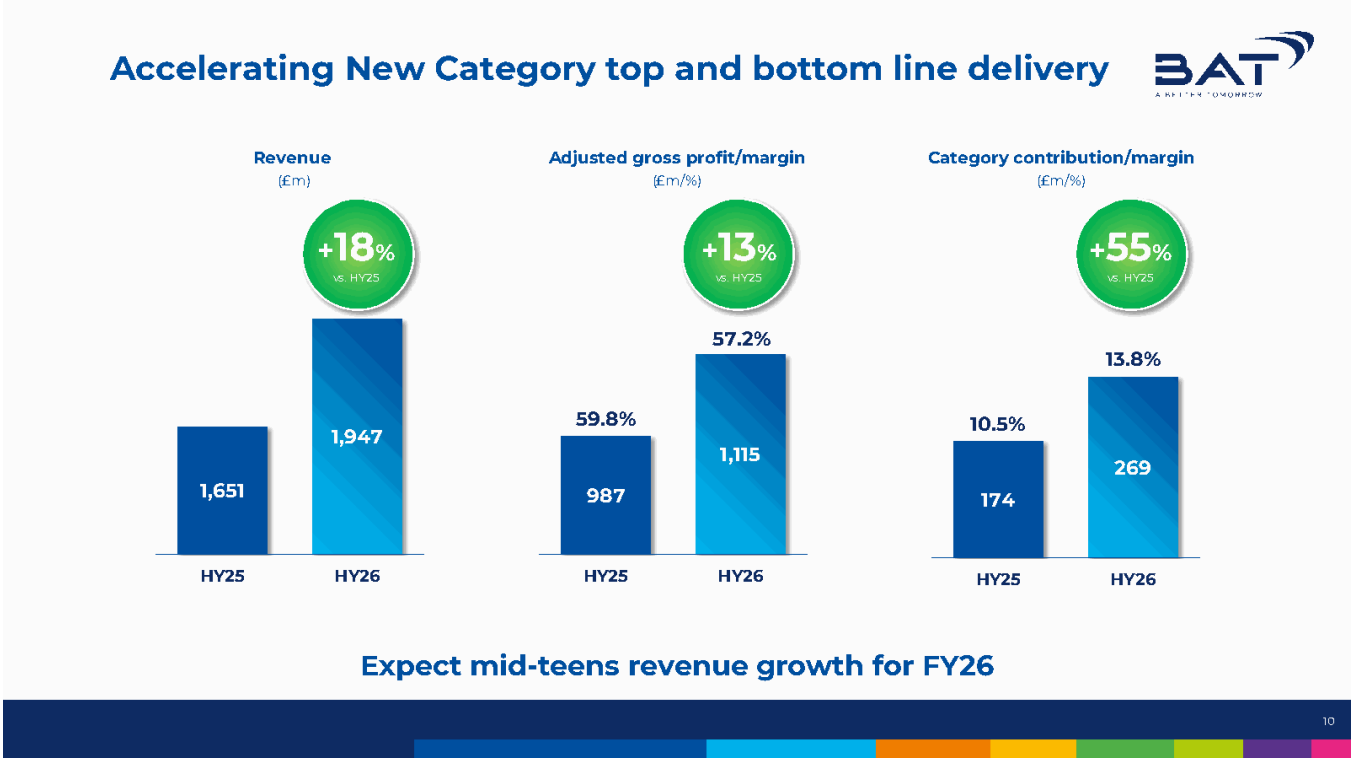
Cumulative cash is a management ambition and includes cash from mature cigarettes. The 2026 Fit2Win cash estimate differs from P&L expense. Source: BAT Capital Markets Day, September 29, 2026, PDF page 14.

Leverage and shareholder cash returns



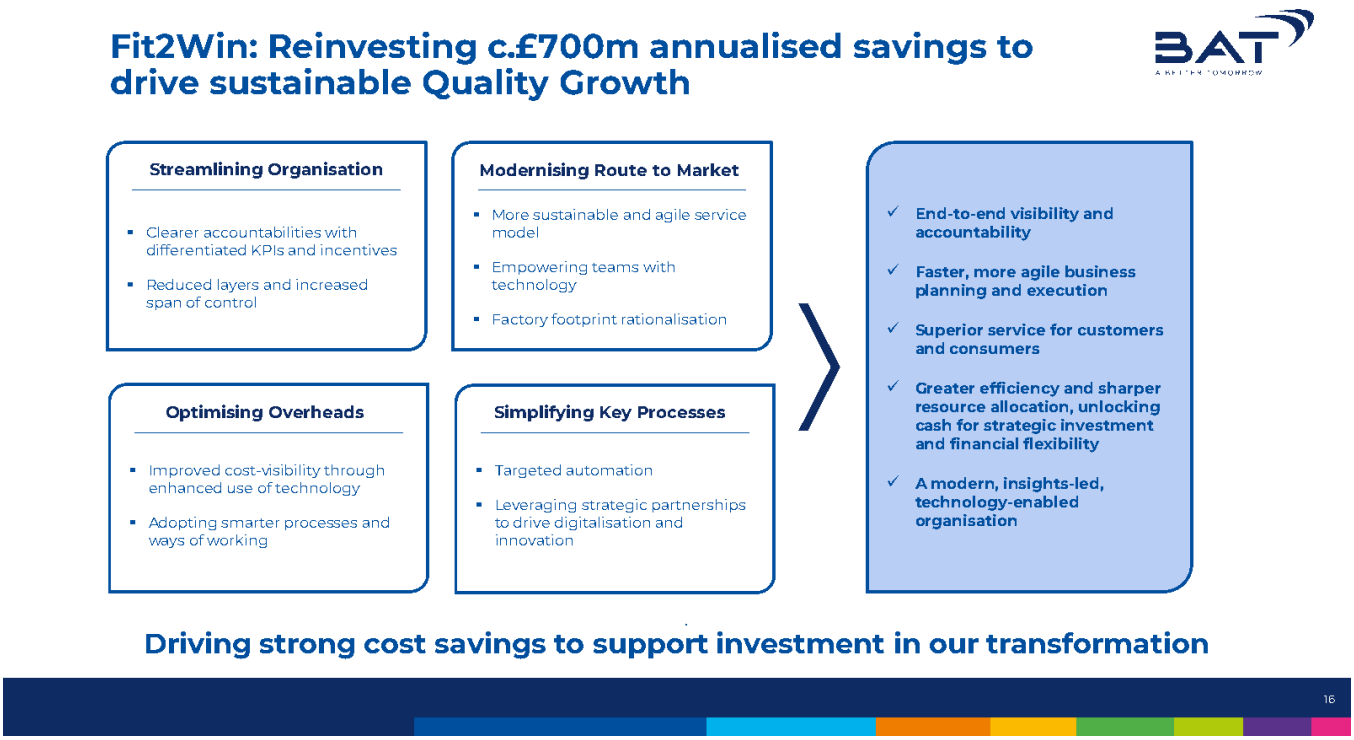
Capital returns depend on cash retained after the Canadian obligation and investment, with leverage as a constraint.
Source: BAT Capital Markets Day, September 29, 2026, PDF page 15.

H1 New Categories revenue profit and contribution



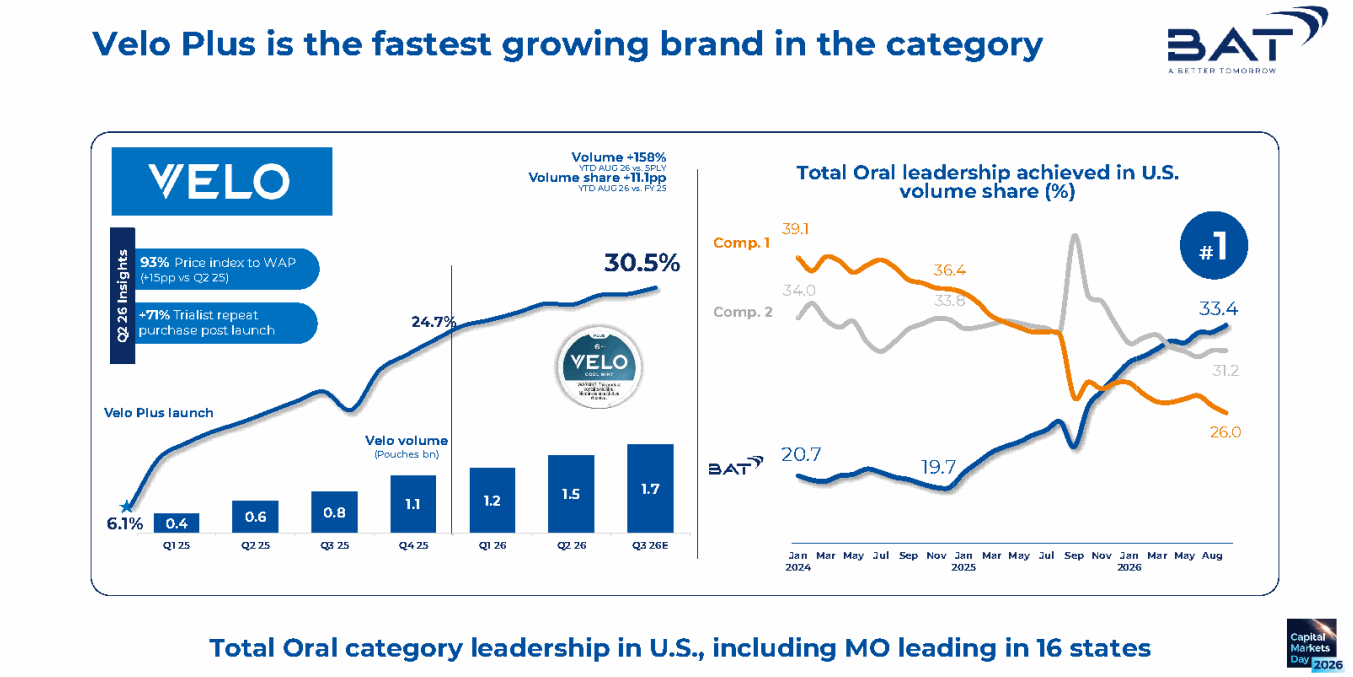
These H1 metrics are at constant exchange rates. The adjacent actual table uses current GBP; the two bases must not be mixed. Source: BAT H1 presentation, July 30, 2026, PDF page 10.

Fit2Win savings and costs



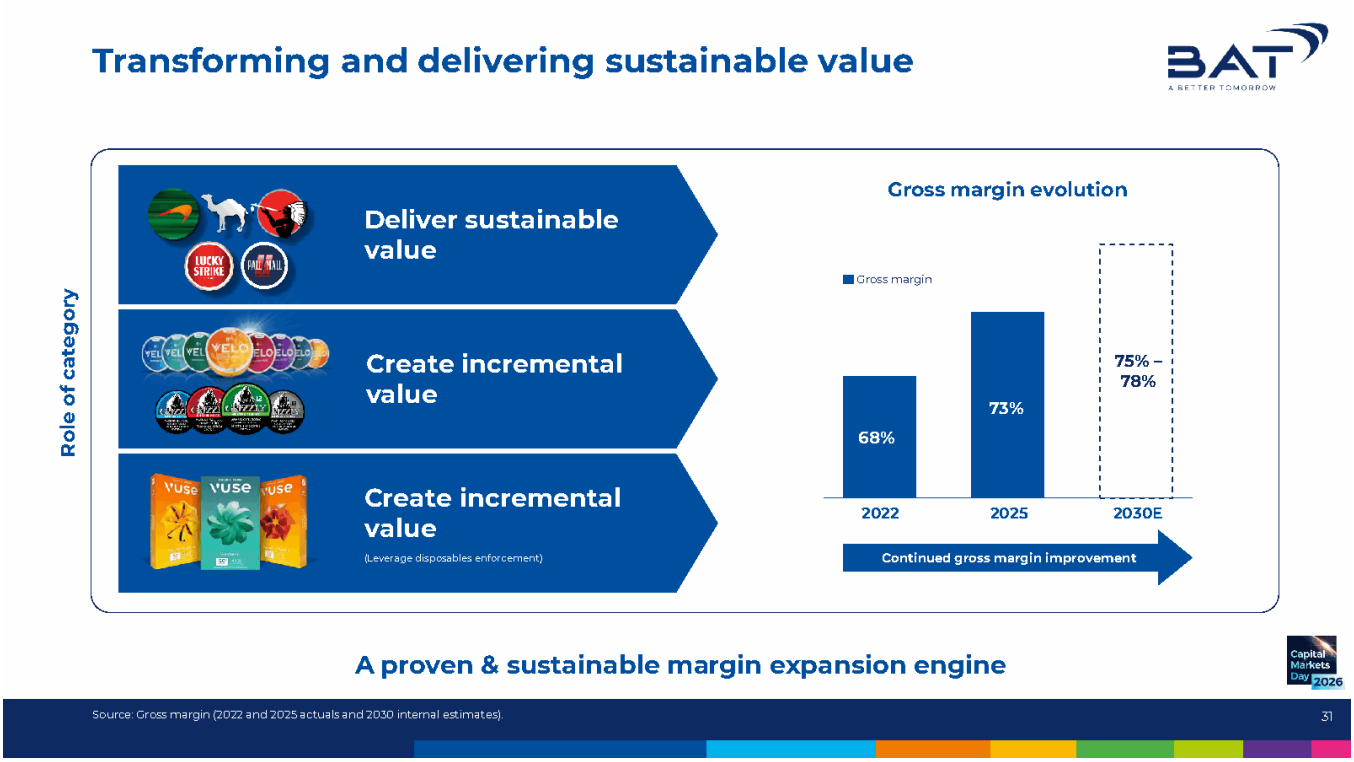
Savings and implementation costs are connected. The model embeds savings in category and below-GP expense rather than adding a second benefit. Source: BAT H1 presentation, July 30, 2026, PDF page 16.

US Velo Plus share and adoption, most recent CMD



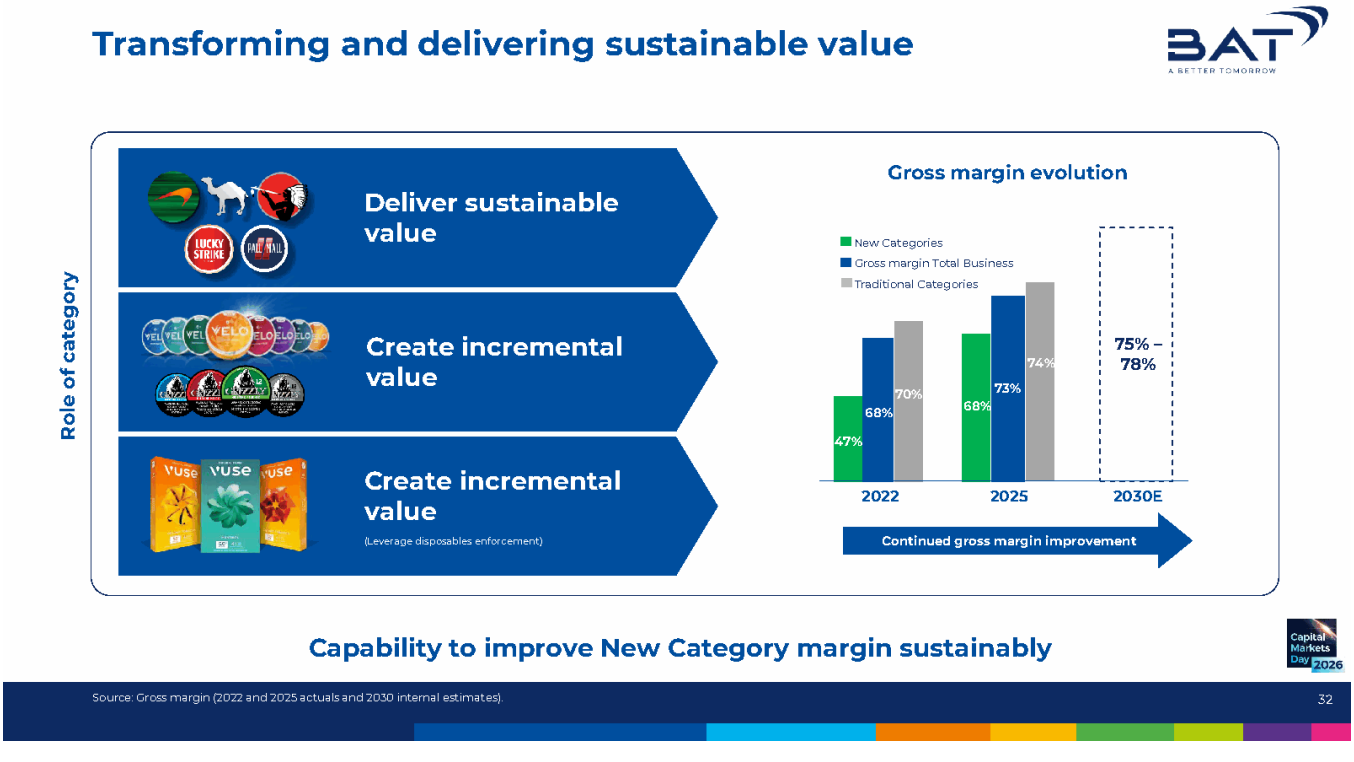
Q3 2026 is marked estimate in the original slide. Dated share, quarter-average share and full-market share are different observations. Source: BAT Capital Markets Day, September 29, 2026, PDF page 18.

US gross margin ambition, not full group OP margin



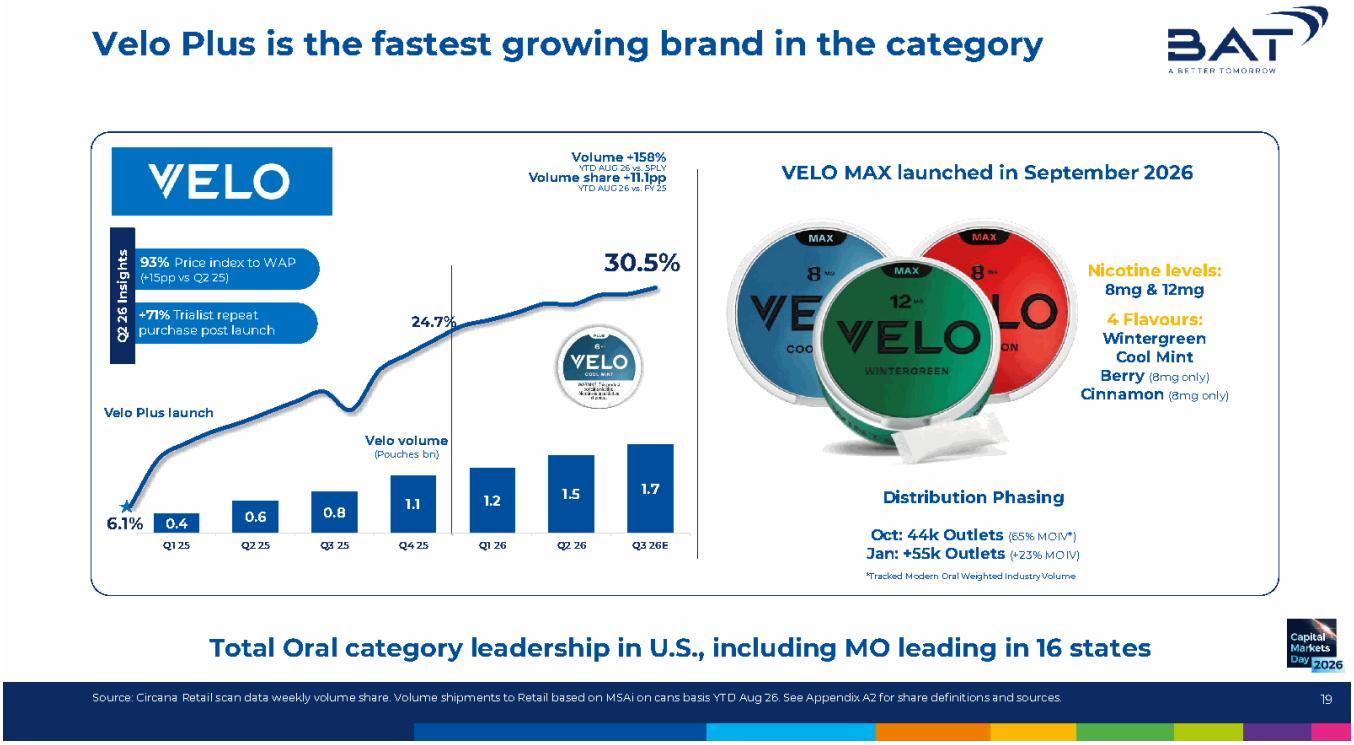
US regional gross margin differs from group operating margin and excludes commercial and group costs. Source: BAT Capital Markets Day, September 29, 2026, PDF page 31.

US New Categories gross margin progress



Category gross margins and category contribution are different measures. Future group profit must retain the costs below gross profit. Source: BAT Capital Markets Day, September 29, 2026, PDF page 32.

VELO Max actual September launch and planned distribution



Max rollout adds product choice and coverage, while many outlets already sell the Velo franchise. Repeat purchase is a dated management observation. Source: BAT Capital Markets Day, September 29, 2026, PDF page 19.

The operating build

The 2026 nominal revenue and Canada-adjusted profit levels are model estimates reconciled to the lower-end constant-currency guide. Margins for Velo, Vuse and glo are not separately reported: the model calibrates their manufacturing and commercial costs to the disclosed New Categories gross-profit and contribution pools.

The reference cross-check gives approximately 357 pence adjusted Canada EPS, within the translated guidance range of approximately 349-360 pence. The cross-check uses £1,650 million net finance cost, approximately 25% tax, £378 million associates earnings, £80 million noncontrolling interests and £56 million hybrid coupons. Associates income remains below operating profit.

Revenue vector	Confidence	Basis and boundary
Combustibles	MEDIUM	H1 revenue/GP and net price/mix, with declining volumes and slower retained pricing.
Modern oral	LOW	H1 revenue and £4,300 million 2030 management ambition; reference 20% growth and a slower 12% outcome are explicit estimates.
Vapour and heated products	LOW	Reported revenue, aggregate New Categories margin, Vuse enforcement/rollout and glo losses; separate product GP is undisclosed.

Revenue vector	Confidence	Basis and boundary
Traditional oral and other	MEDIUM	Reported category controls with declining or modest-growth trajectories.

HIGH denotes a guided or contracted amount, MEDIUM a sourced extrapolation, and LOW a bounded capture or unit-economics estimate. Reported controls are actuals; future vector estimates remain conditional. The active forecasts combine complete outcomes with their associated costs.

2027 reference product	Revenue	COGS	GP margin	Marketing	Contribution
Combustibles	20,503	6,479	68%	0	14,024
Modern oral	2,052	793	61%	869	390
Vapour	1,685	651	61%	714	320
Heated products	728	281	61%	308	138
Traditional oral	970	165	83%	0	805
Other	697	341	51%	0	355

2027 reference cost chain	GBP million
Revenue	26,634
Manufacturing / product costs	8,711
Gross profit	17,923
Product marketing	1,891
Central commercial / administration costs	4,067
Other operating costs	0
Operating profit	11,965

The New Categories product rows allocate gross profit and commercial spending using calibrated proxies. Central costs retain the residual group expense and the Canadian economic adjustment. The primary profit measure excludes specified IFRS adjustments, including acquired-intangible amortization; the IFRS reconciliation above makes that normalization visible.

Annual product cost and margin trajectories

The following decomposed product paths are reference assumptions before the commercial-outcome weighting. They show how manufacturing and commercial costs evolve, including weak or negative contribution where retained. Conditional incremental changes and active weighted totals appear separately below.

Combustibles

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	20,200	6,383	13,817	68%	0	13,817
2027	20,503	6,479	14,024	68%	0	14,024
2028	20,811	6,576	14,234	68%	0	14,234
2029	21,123	6,675	14,448	68%	0	14,448
2030	21,440	6,775	14,665	68%	0	14,665

Modern oral

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	1,710	674	1,036	61%	774	262
2027	2,052	793	1,259	61%	869	390
2028	2,462	933	1,529	62%	963	566
2029	2,955	1,098	1,857	63%	1,088	768
2030	3,546	1,293	2,252	64%	1,242	1,011

Vapour

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	1,590	627	963	61%	719	243
2027	1,685	651	1,034	61%	714	320
2028	1,787	677	1,110	62%	699	411
2029	1,894	704	1,190	63%	698	492
2030	2,007	732	1,275	64%	703	572

Heated products

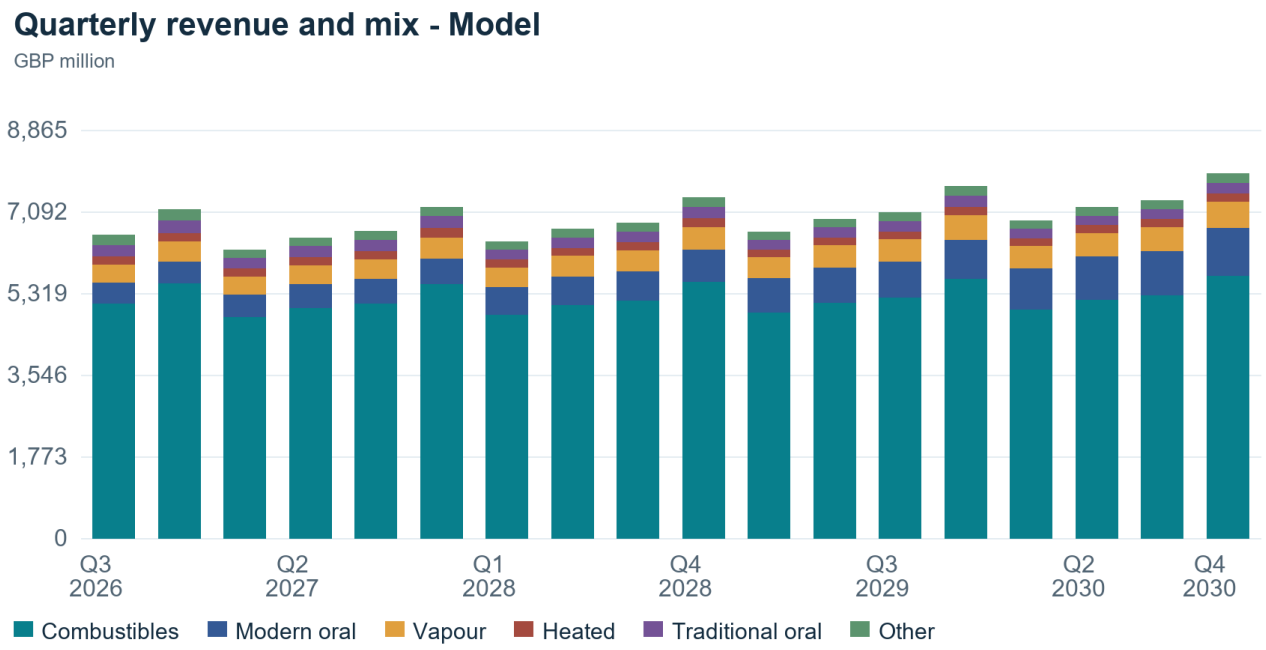
Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	750	296	454	61%	339	115
2027	728	281	446	61%	308	138
2028	706	267	438	62%	276	162
2029	685	254	430	63%	252	178
2030	664	242	422	64%	233	189

Traditional oral

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	1,010	172	838	83%	0	838
2027	970	165	805	83%	0	805
2028	931	158	773	83%	0	773
2029	894	152	742	83%	0	742
2030	858	146	712	83%	0	712

Other

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	690	338	352	51%	0	352
2027	697	341	355	51%	0	355
2028	704	345	359	51%	0	359
2029	711	348	363	51%	0	363
2030	718	352	366	51%	0	366



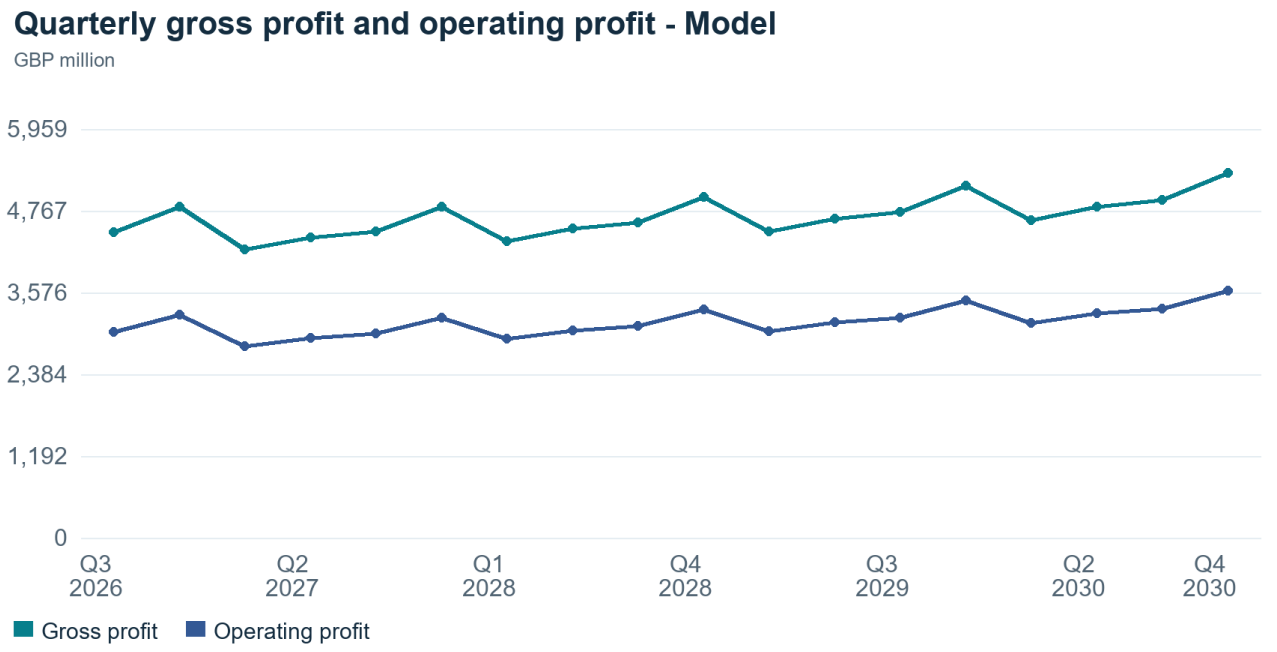
Probability-weighted active quarterly revenue. BAT quarters are model allocations; all displayed quarters are forecasts as of the research date.

Quarter	Combustibles	Modern oral	Vapour	Heated	Traditional oral	Other	Total
Q3 2026	5,107	444	397	177	248	210	6,583
Q4 2026	5,532	482	430	192	268	228	7,132
Q1 2027	4,800	490	399	173	227	164	6,253
Q2 2027	5,005	511	416	180	237	170	6,519
Q3 2027	5,107	522	425	184	242	174	6,653
Q4 2027	5,515	564	459	198	261	188	7,185
Q1 2028	4,855	600	427	169	217	165	6,433
Q2 2028	5,061	625	446	176	227	172	6,707
Q3 2028	5,165	638	455	180	231	175	6,844
Q4 2028	5,578	689	491	194	250	189	7,391
Q1 2029	4,910	734	458	166	208	166	6,643
Q2 2029	5,119	766	478	173	217	173	6,926
Q3 2029	5,224	781	487	176	221	177	7,067
Q4 2029	5,641	844	526	190	239	191	7,632

Quarter	Combustibles	Modern oral	Vapour	Heated	Traditional oral	Other	Total
Q1 2030	4,967	901	492	163	199	168	6,889
Q2 2030	5,178	939	513	170	208	175	7,182
Q3 2030	5,284	958	523	173	212	178	7,328
Q4 2030	5,706	1,035	565	187	229	193	7,915

Manufacturing, commercial expense and operating profit

Revenue less manufacturing and product costs gives gross profit. Product marketing, central costs and other operating costs are then deducted to reach the selected operating-profit basis. Changes in volume, price and margin travel through these same rows, so no gross revenue increment becomes profit without its cost burden.



The active operating-profit line retains manufacturing and support costs. The table below supplies the revenue, margin and expense chain for every quarter used by the ceiling windows.

Quarter	Revenue	COGS	Gross profit	Opex	OP	OP margin
Q3 2026	6,583	2,131	4,452	1,446	3,005	46%
Q4 2026	7,132	2,309	4,823	1,567	3,256	46%
Q1 2027	6,253	2,053	4,200	1,403	2,797	45%
Q2 2027	6,519	2,140	4,379	1,463	2,916	45%

Quarter	Revenue	COGS	Gross profit	Opex	OP	OP margin
Q3 2027	6,653	2,184	4,468	1,493	2,976	45%
Q4 2027	7,185	2,359	4,826	1,612	3,214	45%
Q1 2028	6,433	2,111	4,322	1,421	2,900	45%
Q2 2028	6,707	2,201	4,506	1,482	3,024	45%
Q3 2028	6,844	2,246	4,598	1,512	3,086	45%
Q4 2028	7,391	2,426	4,966	1,633	3,332	45%
Q1 2029	6,643	2,179	4,464	1,452	3,012	45%
Q2 2029	6,926	2,272	4,654	1,514	3,140	45%
Q3 2029	7,067	2,318	4,749	1,545	3,204	45%
Q4 2029	7,632	2,504	5,129	1,669	3,460	45%
Q1 2030	6,889	2,258	4,631	1,495	3,136	46%
Q2 2030	7,182	2,354	4,828	1,558	3,270	46%
Q3 2030	7,328	2,402	4,927	1,590	3,337	46%
Q4 2030	7,915	2,594	5,321	1,717	3,604	46%

Quarter - active	Product marketing	Central expense	Other operating costs	Total opex
Q3 2026	474	973	0	1,446
Q4 2026	513	1,054	0	1,567
Q1 2027	447	956	0	1,403
Q2 2027	466	996	0	1,463
Q3 2027	476	1,017	0	1,493
Q4 2027	514	1,098	0	1,612
Q1 2028	461	961	0	1,421
Q2 2028	480	1,001	0	1,482
Q3 2028	490	1,022	0	1,512
Q4 2028	529	1,104	0	1,633
Q1 2029	487	965	0	1,452
Q2 2029	508	1,006	0	1,514

Quarter - active	Product marketing	Central expense	Other operating costs	Total opex
Q3 2029	518	1,027	0	1,545
Q4 2029	559	1,109	0	1,669
Q1 2030	524	970	0	1,495
Q2 2030	547	1,011	0	1,558
Q3 2030	558	1,032	0	1,590
Q4 2030	602	1,115	0	1,717

Numbers are rounded only for reading. Exact underlying calculations reconcile; a row may differ by one from independently rounded displayed components.

Annual active model	2026	2027	2028	2029	2030
Revenue	25,950	26,610	27,375	28,268	29,314
Manufacturing / product costs	8,490	8,736	8,985	9,272	9,608
Gross profit	17,460	17,874	18,391	18,995	19,706
Operating expenses	5,880	5,970	6,048	6,180	6,360
Operating profit	11,580	11,904	12,342	12,815	13,346
Average diluted shares, million	2,171	2,161	2,161	2,161	2,161
Operating margin	45%	45%	45%	45%	46%

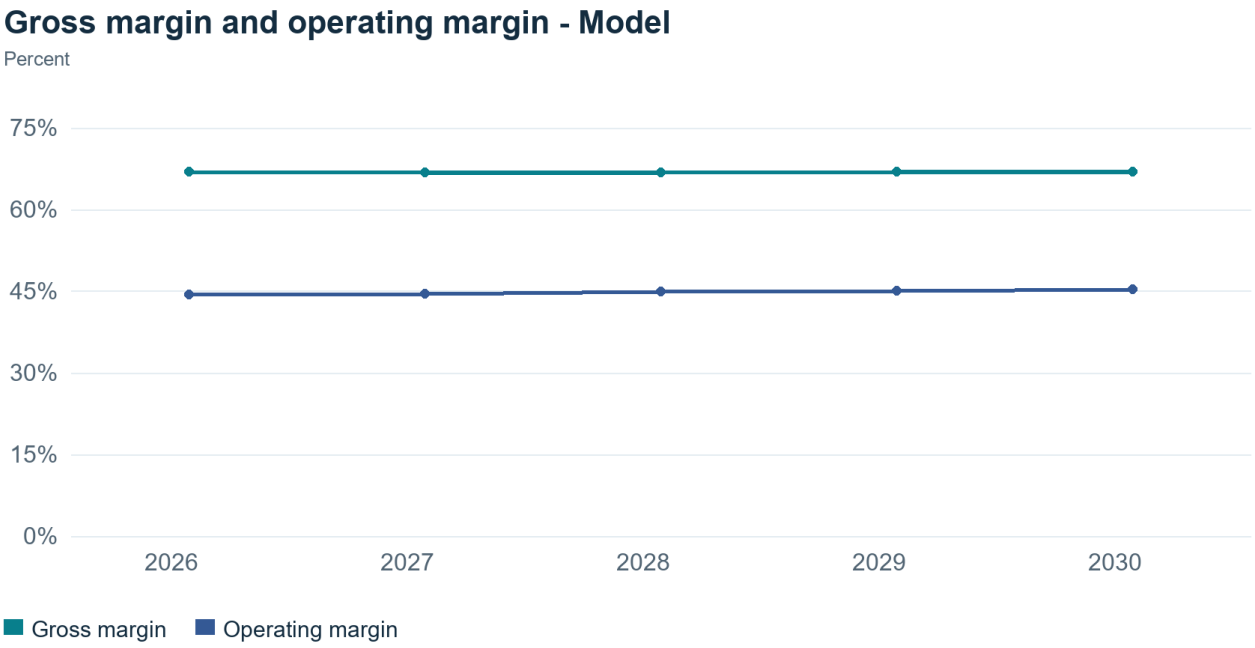
The main operating driver

Modern oral is the main growth driver. The faster path reaches management's £4,300 million 2030 ambition, while reference and downside use slower capture. These are annual reference and conditional values. The active operating build separately probability-weights complete outcomes and all their costs.



Annual reference and conditional driver paths. Company ambitions and reported controls are described beside the relevant assumptions; this chart does not add a second growth pool.

Annual model	2026	2027	2028	2029	2030
Reference	1,710	2,052	2,462	2,955	3,546
Faster migration	1,710	2,153	2,712	3,415	4,300
Competitive downside	1,710	1,915	2,145	2,402	2,691



Annual active margins, with all costs included on the selected profit basis.

Annual model	2026	2027	2028	2029	2030
Gross margin	67%	67%	67%	67%	67%
Operating margin	45%	45%	45%	45%	46%

Probability, incremental economics and overlap

Accelerated migration carries a 55% probability, competitive downside 15%, and reference 30%. The faster endpoint is anchored to management's modern-oral ambition, but remains conditional on legal access, retained share and repeat purchase. The downside retains slower pouch adoption, weaker pricing and commercial costs. The outcomes are mutually exclusive and sum to 100%.

Future incremental manufacturing gross margins of 70% for oral, 60% for vapour and 45% for heated products are marginal-cost proxies calibrated to the aggregate New Categories disclosures. They are model assumptions, not separately reported product margins. Promotion, category marketing and central expense remain below gross profit.

Management's New Categories plan already assumes a 30% reduction in US illicit vapour. That recapture is embedded in the coherent commercial outcomes, not added again as an independent market. Brazil and Turkiye pouch openings are excluded. Fit2Win savings are embedded in costs and margins; they are not added again as a free-standing profit stream.

Accelerated migration

Evidence dated 2026-09-29: BAT Capital Markets Day management presentations/Q&A and H1 July 30 results. The assigned probability is 55%. 55% reflects a specific management ambition, rapid existing oral adoption and a scaled distribution footprint, discounted for promotion, missing product-level margins and regulatory status. Company plans already embed some illicit-vapour recapture.

Conditional outcome: Modern oral reaches £4,300 million in 2030 from the modeled 1,710 million 2026 starting point; vapour grows 10% yearly; New Categories contribution margin reaches 32%.

What changes the weight: Increase with profitable repeat purchases, realized prices and progress toward contribution goals; reduce for stalled value share, enforcement reversals, weaker cash conversion or heated-product costs.

Competitive downside

Evidence dated 2026-09-29: BAT H1/CMD cost, market and regulatory disclosures. The assigned probability is 15%. 15% assigns a slower joint transition outcome to illicit competition, price/promotion and execution. Canada remains an economic burden in every outcome, not an optional second deduction.

Conditional outcome: Modern oral grows 12%, vapour declines 3%, heated products declines 8%, combustible sales decline 1%; New Categories margin reaches 20% in 2030.

What changes the weight: Raise on persistent category loss, delayed savings or materially weaker regulatory access; reduce on repeatable positive category cash economics.

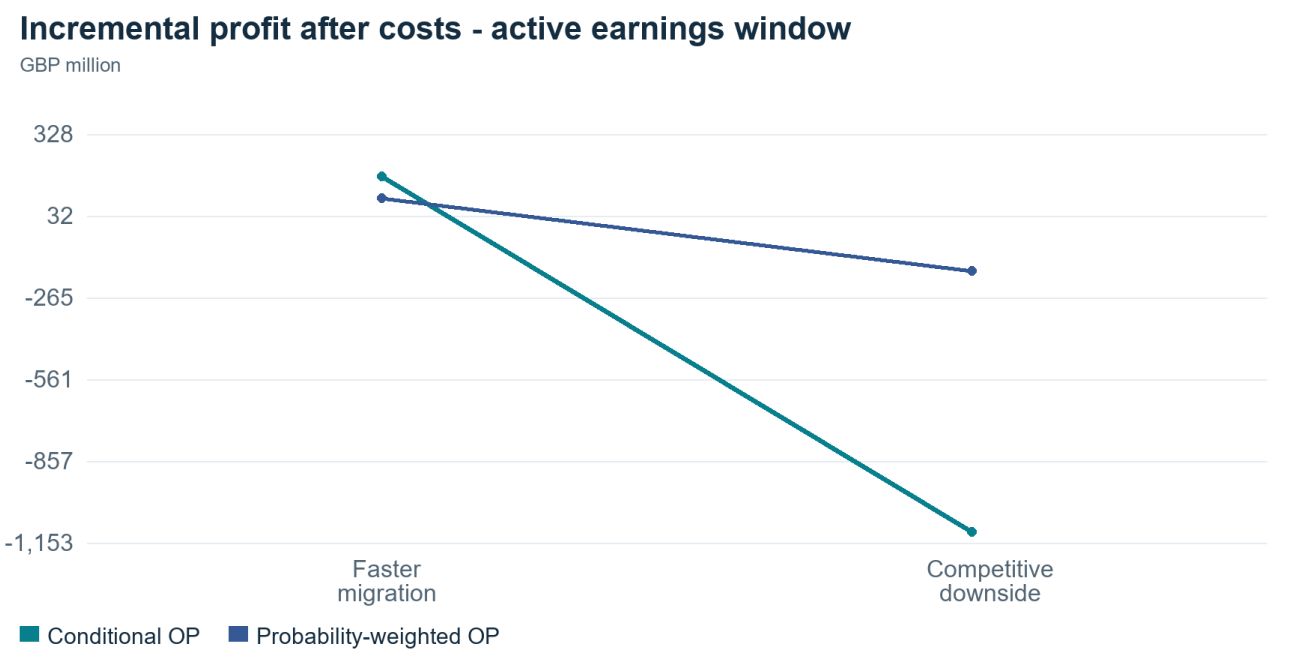
Coherent commercial outcome	Probability
Reference	30%
Faster migration	55%
Competitive downside	15%
Total	100%

Incremental bridge for Q4 2027 through Q3 2028. Amounts below are GBP million. Conditional changes are measured above the existing reference and include related cost changes. A negative expense change is a cost reduction, not extra revenue.

Outcome	p	Conditional revenue	Conditional COGS	Conditional GP	Conditional opex	Conditional OP
Faster migration	55%	+365	+131	+234	+61	+173
Competitive downside	15%	-1,502	-299	-1,203	-89	-1,114

Active bridge	Revenue	COGS	GP	Opex	OP
Reference	27,193	8,890	18,303	6,007	12,296

Active bridge	Revenue	COGS	GP	Opex	OP
Faster migration weighted	+201	+72	+129	+34	+95
Competitive downside weighted	-225	-45	-180	-13	-167
Active total	27,169	8,918	18,251	6,027	12,224



Positive and negative outcomes are preserved. Probability-weighted increments are conditional increments multiplied once by the stated probability.

Outcome	Conditional OP	Weighted OP
Faster migration	+173	+95
Competitive downside	-1,114	-167

Timing, assumptions and zero-addition decisions

The reference contains existing business and ordinary category growth. A zero overlap field in the arithmetic means overlap has already been removed through the coherent outcome, named product boundary or explicit displacement rule; it does not mean competitors can all gain the same share without an offset. No separate increase is added for a headline already captured by those operating assumptions.

Brazil and Turkiye market openings receive no separate revenue because their commercial timing and company capture are not established in this case. Broader illicit-market recapture is already inside management's plan. Canadian payments are not subtracted again from Canada-adjusted normalized operating profit; the cash and IFRS provision effects are disclosed separately.

Sensitivity to the stated probabilities

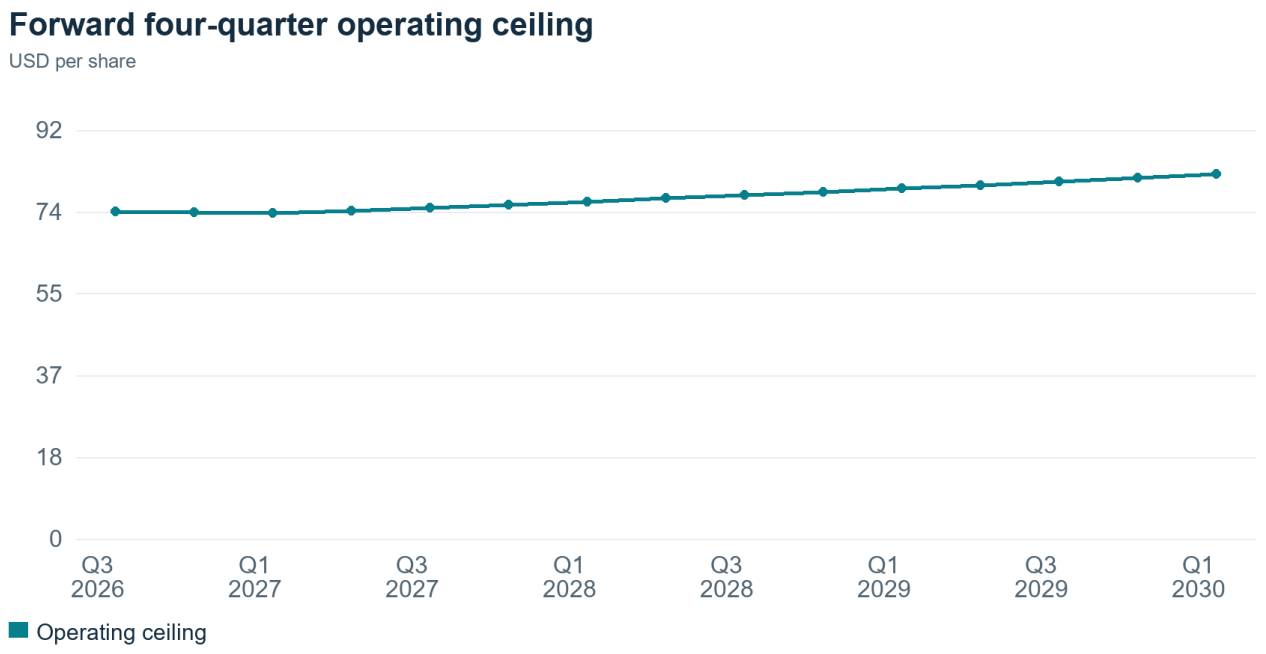
Outcome	Current p	Ceiling at zero p	Ceiling at p + 10 points	Conditional OP delta
Faster migration	55%	$75	$75	173
Competitive downside	15%	$76	$75	-1,114

These sensitivities vary one stated probability while holding the other operating assumptions fixed and shifting the remaining reference weight consistently. They expose uncertainty rather than adding a separate ceiling probability haircut.

The fifteen forward four-quarter operating ceilings

Each ceiling capitalizes the operating profit earned in the exact four-quarter window shown below. Quarterly revenue less costs produces operating profit; the four quarters are summed, multiplied by the company-specific multiple and divided by average diluted shares. The active window is Q4 2027 through Q3 2028.

GBP profit is translated into USD at the fixed projection assumption described above: £100 approximately $133. The one-for-one ADS ratio adds no extra factor. The primary metric already retains the economic Canadian diversion. The initial 10x normalized-profit multiple reflects mature cigarettes, legal obligations, debt, FX and a competitive transition.



All fifteen ceilings share the stated method and each uses its own exact earnings window. The numerical table immediately below provides the profit, multiple and diluted-share chain.

Ceiling quarter	Exact earnings window	F4Q OP	Multiple	Diluted shares, million	USD ceiling
Q3 2026	Q3 2026 through Q2 2027	11,975	10x	2,163	$74

Ceiling quarter	Exact earnings window	F4Q OP	Multiple	Diluted shares, million	USD ceiling
Q4 2026	Q4 2026 through Q3 2027	11,945	10x	2,161	$74
Q1 2027	Q1 2027 through Q4 2027	11,904	10x	2,161	$73
Q2 2027	Q2 2027 through Q1 2028	12,007	10x	2,161	$74
Q3 2027	Q3 2027 through Q2 2028	12,114	10x	2,161	$75
Q4 2027	Q4 2027 through Q3 2028	12,224	10x	2,161	$75
Q1 2028	Q1 2028 through Q4 2028	12,342	10x	2,161	$76
Q2 2028	Q2 2028 through Q1 2029	12,453	10x	2,161	$77
Q3 2028	Q3 2028 through Q2 2029	12,569	10x	2,161	$77
Q4 2028	Q4 2028 through Q3 2029	12,687	10x	2,161	$78
Q1 2029	Q1 2029 through Q4 2029	12,815	10x	2,161	$79
Q2 2029	Q2 2029 through Q1 2030	12,940	10x	2,161	$80
Q3 2029	Q3 2029 through Q2 2030	13,070	10x	2,161	$80
Q4 2029	Q4 2029 through Q3 2030	13,203	10x	2,161	$81
Q1 2030	Q1 2030 through Q4 2030	13,346	10x	2,161	$82

The average diluted share count follows the model's company-specific schedule. A 5% higher share denominator, with identical profit and FX, lowers each ceiling by approximately 5%; a 5% lower denominator raises it by approximately 5%. No repurchase-driven upside is added beyond the funded share convention.

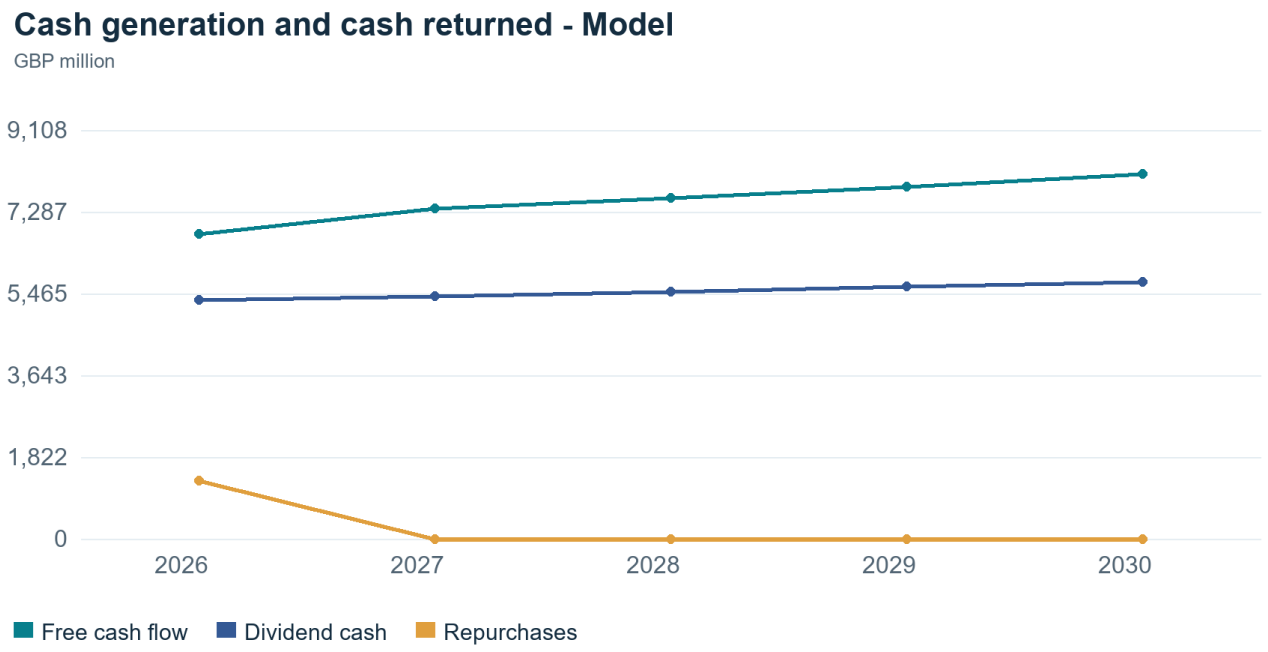
Funding, dividends and debt

FY2025 free cash flow was £4,048 million, including a £2,560 million upfront Canadian payment. Excluding only that upfront payment gives £6,608 million; US tax deferral and FII payments also affected the year. H1 2026 free cash flow of £2,285 million was below £2,634 million dividends and £649 million repurchases.

June company net debt of £32,555 million reconciles as £35,063 million borrowings/leases plus £25 million related derivatives, less £2,518 million cash and £15 million current investments. Cash included £386 million restricted in Canada and £73 million other restricted cash. The dividend run rate is approximately 245 pence per ordinary share; the model retains the announced £1,300 million 2026 buyback and assumes none thereafter.

The Canadian plan diverts 85% of the relevant Canadian profit in 2026, with future rates defined by the settlement. Payments reduce the provision; they are not automatically a second recurring IFRS operating expense. Provision remeasurement can affect operating profit and discount unwinding affects finance cost. The normalized profit basis already retains the economic diversion, so subtracting it again would duplicate the burden.

Fit2Win has £950 million estimated one-off costs, split between £620 million cash and £330 million noncash, alongside savings ambitions of £500 million in 2027 and £700 million in 2028. Approximately £600 million 2026 cash outflow differs from recognized P&L expense. ITC investment income sits below operating profit; historic disposal proceeds already used to reduce debt are not added again as an asset.



Free cash flow is a low-confidence cash-conversion model. Dividend cash uses annualized rate assumptions; it differs from an exact payment-calendar forecast.

Year	FCF	Dividends	Buybacks	Retained cash	FCF / dividend	Net debt
2026	6,800	5,319	1,300	181	128%	31,376
2027	7,369	5,401	0	1,968	136%	29,408
2028	7,603	5,509	0	2,094	138%	27,314
2029	7,853	5,619	0	2,234	140%	25,080
2030	8,132	5,732	0	2,401	142%	22,679

Projected net debt begins at the June balance and deducts only the remaining modeled second-half cash retained, after reconciling actual first-half distributions. Later cash retention then reduces debt. This is a funding cross-check with no modeled debt FX, acquisitions or asset sales. It does not change the operating-profit capitalization formula.

Scorecard and thesis quality

The framework evaluates the quality of the investment mechanism as well as its profit trajectory. This company receives credit for a branded recurring-consumption franchise and the specified growth vectors. It receives no AI adjacency or scarcity premium. The score below is the analytical score for this coverage, separate from individual outcome probabilities.

Category	Points	Maximum	Reason
Core Thesis	13	20	Brands, distribution, regulated access and recurring consumption support a franchise. Capacity is sufficient and competitors can serve the category.
Cycle Stage	7	10	Modern oral is scaling quickly, vapour is enforcement-sensitive and heated products remain weak inside a mature group.
TAM Expansion	6	10	Geographies, strengths, formats and adult switching expand nicotine capture; none is a universal industrial primitive.
Catalysts	4	5	VeloMax rollout into early 2027, FY 2026 results, Vuse trials and 2027 savings realization.
Macro	5	10	Smoke-free migration and pricing help; illicit products, excise and consumer affordability constrain them.
Alpha	2	5	Widely covered, with a useful distinction between category contribution, group OP, currency and Canadian cash diversion.
Risks	-5	Penalty	Five classes: Canada/litigation, FDA and illicit-market rules, competitive category capture, debt/FX, and execution/restructuring costs.

Score arithmetic: 13 + 7 + 6 + 4 + 5 + 2 + (-5) = 32 points out of 60; scaled and rounded to 53 out of 100. Framework result: Fail. All three tobacco companies score below 65; an indispensable bottleneck has not been demonstrated.

Risks and tests that could change the thesis

Risk	Evidence and operating test
Oral share and legal access	Velo Max distribution is a rollout plan, not guaranteed incremental consumption. Many stores already sell Velo Plus. FDA enforcement discretion differs from marketing authorization; the inspected authorized-pouch list contains competing on! and ZYN products, with no Velo product.
Vuse and the illicit market	Tracked legal retail share excludes much illicit trade. New flavours can improve choice but may not close the large cost-per-puff gap versus illegal large-tank devices. FDA-authorized product scope remains product specific.
Category costs	Modern oral can already exceed 30% contribution in management commentary, while heated products remain loss-making. Group New Categories margin must include that mix, commercial spending and central costs.
Cash and law	Canadian cash diversion, restricted cash, other litigation, tax, debt and FX constrain distributions. France's oral-nicotine sale/use ban prevents assuming unrestricted European market access.
Cigarette pricing	H1 price/mix exceeded volume decline, but US inventory supported first-half results and was expected to unwind. Affordability, downtrading and illicit competition can weaken retained pricing.

Dated catalysts

Timing	Test
October 2026 to January 2027	Velo Max outlet deployment, repeat purchase and realized price; distinguish new stores from existing Velo franchise availability.
FY2026 results	Lower-end constant-currency guidance, nominal FX translation, Fit2Win cash costs and Canadian settlement cash/provision reconciliation.
2027-2028	Savings realization, Vuse legal-market recapture, heated-product loss reduction and debt reduction after dividends.

Cross-company implications

PMI ZYN, BAT Velo and Altria on! compete for the same US oral-nicotine wallet. An extra share point captured by one supplier may be lost by another; it cannot be treated as independent industry expansion in every model. PMI IQOS also competes with BAT glo and Japan Tobacco Ploom, while legal vapour competes with JUUL and illicit products. Company distribution, consumer retention, actual realization and cost data must separate shared category growth from share transfer.

Within this three-company review, PMI has the broadest established international smoke-free profit pool, BAT combines cigarette cash with a fast modern-oral ramp, and Altria remains most dependent on a shrinking US cigarette and legacy-oral base. Those are business-mix distinctions rather than price-dependent rankings. Each report retains its own operating-profit basis, multiple, funding burden and diluted-share convention.

Sources and evidence boundaries

Reported figures come from company filings, releases and official presentations. Management forecasts remain attributed ambitions; future operating outcomes and probabilities are model judgments. Original exhibits retain their dates, units, footnotes and published precision. Authored tables use whole-number presentation while the calculation file retains exact precision.

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